

FIRSTBANK DIGITAL FACTORY

PRD: NovaLend

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1. Problem Statement

The NovaLend 30-day beta revealed a critical failure at the bottom of our funnel: a massive drop-off at the offer stage combined with an unsustainable default rate.

Out of 1,890 users who received an offer, only 33.9% accepted it, resulting in a 66.1% abandonment rate at the final step. Concurrently, the loans that were disbursed carry a 30-day default rate of 14% more than double the 6% limit mandated by our Risk department.

Investigation indicates the 66.1% abandonment is driven by several factors: 'All or nothing' flat loan amounts, income-misaligned rigid tenors, and simple user distraction. Meanwhile, the 14% default rate is driven by adverse selection our flat pricing attracts high-risk users while deterring good ones.

This PRD outlines the comprehensive solution: a dynamic, risk-tiered offer screen that gives users bounded flexibility over their loan size and tenor, wrapped in a frictionless mobile UI. It also includes automated lifecycle reminders to capture distracted users, strict risk cutoffs to protect the portfolio, and a specific account direct debit mandate to guarantee recovery without user friction.

2. The Feature, In One Line

A dynamic, risk-tiered offer screen allowing users to adjust their loan amount and tenor within approved limits, supported by automated reminder notifications, a specific account direct debit mandate, and a strict cutoff for high-risk applicants.

3. Feature Breakdown

Component	Type	What it does	Ties to
Risk tier assignment & Strict Cutoff	Backend	Places applicants into score-band tiers; strictly declines the highest-risk segment.	US-6
Dynamic Amount Slider	Frontend	A drag-to-select slider allowing users to pick a	US-1

		principal between a floor and their tier limit.	
Tenor Toggle Chips	Frontend	Simple selectable chips (e.g., 14 Days, 30 Days) bounded by the user's risk tier.	US-1
Real-Time Pricing Engine	Frontend + Backend	Instantly recalculates 'Total Repayment' and 'Due Date' as inputs change.	US-2
Direct Debit Account Binding	Frontend + Backend	Allows users to tokenize a specific debit card or bank account for automated repayment instead of relying solely on the NovaWallet balance.	US-3
High-Fidelity Offer UI	Frontend	Displays the offer in a bottom sheet with correct scroll-gesture resolution.	US-4
Automated Offer Reminder	Backend / Comms	Holds pending offers for 48 hours. Sends a push notification/SMS at the 24-hour mark to recall distracted users.	US-5

4. Design & Engineering Principles

- **One screen, bounded flexibility:** Viewing and accepting the offer happens on one screen. Risk controls the boundaries.
- **Flawless Gesture Handling:** The offer details will be presented in a bottom sheet. Scroll interactions must perfectly resolve conflicts between the inner scrollable content and the sheet itself.
- **Visual Polish:** The UI will utilize Material Design 3 surface elevation, Apple glassmorphism effects for the offer card background, and Hugeicons Pro iconography.
- **Fluid State Transitions:** Recalculations of interest and due dates must animate smoothly to reinforce cause-and-effect.
- **Lifecycle Re-engagement:** Never assume abandonment is intentional without explicit rejection. Remind users before expiration.

5. User Stories and Acceptance Criteria

ID	User Story	Acceptance Criteria
US-1	As an approved applicant, I want to adjust my loan amount and repayment tenor on the offer screen, so that I borrow exactly what I need.	- Screen features a continuous slider for Amount. - Screen features chip toggles for Tenor.
US-2	As an applicant, I want a transparent breakdown of fees that recalculates instantly, so I am not surprised by hidden costs.	- Full fee breakdown is visible by default. - Total Repayment updates in real-time.
US-3	As an applicant, I want to bind a specific debit card or external bank account for repayment, so that I don't have to manually fund my NovaWallet just for this loan.	- Offer acceptance requires linking a specific account/card via tokenization. - A scheduled job automatically debits this specific account on the due date.
US-4	As a mobile user, I want the offer screen to be easy to read and navigate without accidentally closing it.	- Built using @gorhom/bottom-sheet in React Native, ensuring inner content scrolling does not trigger a sheet collapse.
US-5	As a distracted applicant, I want a reminder about my pending offer before it expires.	- A scheduled job checks for unaccepted offers at 24 hours and triggers a push notification linking back to the offer.
US-6	As a Risk Manager, I want high-risk applicants immediately declined, so NovaLend stops bleeding defaults.	- Backend strictly cuts off the bottom quartile of eligible credit scores.

6. Success Metrics

1. Reduce Default Rate: 30-day default rate drops from 14% to $\leq 6\%$.
2. Increase Acceptance: Offer acceptance rate rises from 33.9% to $> 50\%$.
3. Repayment Flexibility Utilization: $> 40\%$ of users change the default slider/tenor before accepting.
4. Reminder Recovery: $> 15\%$ of users who receive the 24-hour reminder successfully disburse.
5. Direct Debit Mandate Binding Rate: $> 95\%$ successful card/account tokenization among accepted offers.

7. Dependencies & Assumptions

- Compliance & Legal Sign-off: Direct debit tokenization terms and fully transparent fee text must be approved by Legal prior to release.
- Assumptions: Assumes the existing alternative credit score is continuous and can be segmented into risk bands without a full Data Science model rebuild.